would not be concerned about the possibility of an inflationary surge in the future, as the central bank is bound to deliver on the stated inflation target. Here also, the long years of establishing a sound institutional apparatus of inflation targeting can pay off nicely at a time of crisis, where it becomes possible to sharply cut rates without triggering fears of an inflation crisis.

The shock absorbers in a crisis

Stock prices, real estate prices and the rupee are key shock absorbers in a crisis. When the times become difficult, these prices should go down. This should make the assets more attractive from the viewpoint of domestic and foreign investors.

If, on the other hand, there are artificial attempts at distorting these prices, this can be harmful. As an example, consider a government that defends the exchange rate in a time of crisis. As economist Jayanth Varma has emphasized, this makes it *more* attractive for foreign investors to leave, as they are getting a better deal with a distorted exchange rate that might not last into the future. The enhanced exit of foreign investors, owing to exchange rate policy, generates *increased* stress in the economy. [11]

Example 59: Financial markets that stay open

On 17 May 2004, the UPA unexpectedly won the general elections, and Nifty crashed. There were concerns about whether the exchanges and clearing houses would survive this. This was particularly problematic at a time when the previous cabinet had exited but the new cabinet had not yet been formed, so there was no minister of finance. Some policymakers felt that the exchanges should be closed down. But the exchanges worked through the storm. While the new government had not yet settled in, Manmohan Singh (who was then a former finance minister) came out with a statement which helped reduce the fear.